

Stock buybacks have only become more common in the last couple of decades. Therefore, in my study of 100-baggers — which spans 1962 to 2014 — it was not a common tactic. But those who were diligent buyers of their own stock had spectacular results, as we saw in chapter 8 with the Outsiders.

It's a potential clue. When you find a company that drives its shares outstanding lower over time and seems to have a knack for buying at good prices, you should take a deeper look. You may have found a candidate for a 100-bagger.